

Pendal Australian Equities Fund

Product Disclosure Statement 2026

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Issued by: Pendal Group Limited

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1. About Pendal Group

Pendal Group Limited (ABN 28 126 385 822, AFSL 228504) is the responsible entity and investment manager of the Pendal Australian Equities Fund. Pendal is one of Australia's largest independent investment managers, with a heritage dating back to 1980 through the former BT Investment Management.

ABN	28 126 385 822
AFSL	228504
Founded	1980 (as BT Investment Management)
Headquarters	Sydney, NSW
Total AUM	AUD 28.4 billion
Ownership	Listed on ASX (ASX: PDL)

Pendal Group holds AFSL 228504 which is current and in good standing. There are no enforceable undertakings issued by ASIC against Pendal Group in relation to this fund. The firm operates a dedicated compliance function overseen by a Chief Compliance Officer with direct Board reporting.

Pendal was formed following the demerger of BT Investment Management from Westpac Banking Corporation in 2007, and rebranded to Pendal Group in 2018. The firm maintains full operational independence from its former parent.

2. Investment Philosophy & Process

The Pendal Australian Equities Fund employs an active, bottom-up, fundamental stock selection approach designed to outperform the S&P/ASX 300 Accumulation Index over rolling 3-year periods.

The investment philosophy is built on three core tenets:

- Quality businesses with sustainable competitive advantages trade at premiums that are often justified by superior long-term compounding.
- Market inefficiencies exist primarily at the individual stock level, and deep fundamental research is the most reliable way to exploit them.
- Risk management begins at the stock level -- understanding what you own is the primary defence against permanent capital loss.

Alpha Sources

The fund generates alpha through: (1) proprietary fundamental research identifying undervalued quality companies, (2) contrarian positioning when market sentiment diverges from fundamental value, and (3) active engagement with company management to unlock value.

Process Evolution

The investment process was refined in 2021 to incorporate quantitative screening as a complement to traditional fundamental research. A proprietary 'Quality Momentum Scorecard' was introduced to prioritise the research pipeline, though all final investment decisions remain fundamentally driven. The process evolved from a pure bottom-up approach to include top-down thematic overlays in 2023, recognising that sector and macroeconomic trends increasingly influence individual stock outcomes.

Investment Decision Framework

Stock selection follows a structured process: quantitative screening (universe of ~300 ASX stocks) -> fundamental research (detailed financial modelling, management meetings) -> portfolio construction (position sizing based on conviction and risk) -> ongoing monitoring. The average holding period is 2-3 years, reflecting the team's long-term orientation.

3. Portfolio Construction

The fund constructs a concentrated portfolio of 30-50 Australian equities selected from the S&P/ASX 300 universe.

Concentration Limits

Maximum single stock weight	8% at cost, 10% at market
Maximum sector overweight	+/- 10% vs benchmark
Maximum off-benchmark	10% (stocks outside ASX 300)
Minimum number of holdings	30
Maximum cash holding	10%
Typical active share	55-70%

Position sizing is determined by a combination of conviction level (1-5 scale from research team) and risk contribution. High-conviction ideas (level 4-5) are sized at 3-5% of portfolio. Lower-conviction holdings (level 2-3) are sized at 1-2%. All positions must have a positive expected return over 12-18 months.

Sector exposures are monitored daily relative to the benchmark. Deviations exceeding +/-10% require Portfolio Manager approval and documentation of the investment thesis supporting the overweight/underweight.

4. Benchmark & Objectives

Benchmark	S&P/ASX 300 Accumulation Index
Objective	Outperform benchmark by 3% p.a. (gross)
Tracking Error Target	3-6% p.a.
Time Horizon	Rolling 3-year periods

The S&P/ASX 300 Accumulation Index was selected as the benchmark because it represents the broadest investable universe of Australian equities, encompassing large-cap, mid-cap, and small-cap stocks. This benchmark has been used since the fund's inception in April 1997 and has not been changed.

The benchmark is considered appropriate because: (1) it matches the fund's investable universe (ASX-listed equities), (2) it includes dividend reinvestment consistent with the fund's total return objective, and (3) it is widely recognised and used by peers, enabling fair comparison.

5. Key Personnel

Crispin Murray -- Head of Equities & Lead Portfolio Manager

Crispin Murray has led Pendal's Australian equities team since 2010. He has over 28 years of investment experience, having previously served as Senior Portfolio Manager at BT Investment Management. Crispin holds a Bachelor of Commerce from the University of Melbourne and is a CFA charterholder.

Investment Team

The Australian Equities team comprises 12 investment professionals:

- 2 senior portfolio managers (Crispin Murray, deputy PM with 20 years exp)
- 6 sector research analysts (covering all GICS sectors)
- 2 quantitative analysts
- 1 ESG integration specialist
- 1 portfolio implementation manager

Average team tenure 9.5 years

Average experience 16 years

Key person risk: The PDS discloses Crispin Murray as a key person for this fund. A deputy portfolio manager with 20 years experience is designated as acting lead PM in the event of Crispin's absence. All research coverage has backup analysts assigned. The investment process is documented to ensure continuity.

6. ESG Integration

Pendal Group is a signatory to the UNPRI (since 2009) and received an A rating for Listed Equity incorporation in its most recent assessment.

- ESG integration: ESG factors are incorporated into fundamental research for all stocks via a proprietary ESG scorecard. Material ESG risks can reduce position sizes or result in exclusion.
- Exclusions: Controversial weapons, tobacco manufacturing (>5% revenue)
- Active ownership: Pendal voted on 100% of proxy resolutions in FY2025. Voted against management on 18% of resolutions.
- Engagement: Direct engagement with 45 ASX companies on material ESG topics in FY2025, focusing on climate disclosure, board diversity, and executive remuneration.
- Climate: TCFD-aligned climate risk assessment conducted annually. Portfolio weighted average carbon intensity disclosed in quarterly reports.

7. Conflicts of Interest

Pendal Group maintains a Conflicts of Interest Policy reviewed annually by the Board:

- Related parties: Pendal has no affiliated broker-dealer or custodian. All service providers are independent third parties selected via competitive tender.
- Personal trading: All investment staff subject to pre-clearance, 30-day holding period, and prohibition on trading securities under active research coverage.
- Soft dollars: Pendal does not accept soft dollar arrangements. Research is funded from the firm's own resources, not from brokerage commissions.
- Board independence: The Pendal Group Board comprises 7 directors, 5 of whom are independent non-executive directors. The Chair is independent.
- Cross-fund allocation: IPO and block trade allocations follow a documented fair allocation policy overseen by Compliance. Allocation reports are reviewed monthly.

8. Fees & Costs

Management Fee (MER)	0.85% p.a. of NAV
Indirect Cost Ratio (ICR)	0.02% p.a.
Performance Fee	Nil
Buy Spread	0.15%
Sell Spread	0.15%
Entry/Exit Fees	Nil

The Management Fee is accrued daily and paid monthly from fund assets. The ICR is minimal as the fund invests directly in ASX-listed securities rather than underlying funds.

Buy/sell spreads reflect the estimated transaction costs (brokerage + market impact) of investing/redeeming. Spreads are reviewed quarterly based on recent trading experience.

Total estimated cost to investors: 0.87% p.a. plus applicable buy/sell spread.

9. Business Viability

Fund AUM	AUD 1,150 million
Fund Inception	1 April 1997
APIR Code	BTA0011AU
Firm Total AUM	AUD 28.4 billion
3-Year AUM Growth (firm)	+2.8% CAGR
Staff Turnover	14% (industry avg: 18%)

Pendal Group (ASX: PDL) is a publicly listed, independent investment manager. The firm's ownership structure provides transparency and alignment with investors. Following the acquisition of TSW (US equities specialist) in 2020, the firm has diversified its revenue base geographically.

The Australian Equities Fund has operated for over 28 years with stable AUM. At AUD 1.15 billion, the fund is well above the minimum viable scale. Revenue from management fees adequately supports the dedicated 12-person investment team.

10. Regulatory Information

Pendal Group Limited holds AFSL 228504, which authorises it to operate registered managed investment schemes and provide general financial product advice.

The fund is registered with ASIC as a managed investment scheme (ARSN 089 817 559).

- AFSL is current and in good standing
- No enforceable undertakings in past 5 years
- No material regulatory actions or proceedings
- Member of AFCA (membership number: 10876)

11. Risk Disclosures

Key risks of investing in the Pendal Australian Equities Fund:

- Market risk: Australian equity markets can be volatile. The fund's concentrated approach means returns may diverge significantly from the benchmark.
- Stock-specific risk: With 30-50 holdings, individual stock events can materially impact performance.
- Liquidity risk: Small-cap holdings may be less liquid. The fund limits off-benchmark (ex-ASX 300) holdings to 10%.
- Manager risk: Active management may underperform passive alternatives.

12. Taxation

The fund operates under the AMIT regime. Distributions are made annually in June, comprising dividends (including franking credits), realised capital gains, and other income. Investors receive an AMMA statement for tax reporting purposes.

13. Withdrawals

Withdrawal requests are processed daily. Payment is typically within 3-5 business days. The responsible entity may suspend withdrawals for up to 90 days in extraordinary circumstances (e.g., extreme market disruption preventing fair asset valuation).

14. Governance

The fund's governance structure includes:

- Board of Directors (7 members, 5 independent)
- Investment Committee (4 members, chaired by Head of Equities)
- Risk & Compliance Committee (3 independent directors)
- Independent custodian (JP Morgan Chase Bank N.A.)
- External auditor (Deloitte Touche Tohmatsu)

15. Compliance Framework

Pendal's compliance program includes:

- Annual compliance plan approved by the Board
- Automated pre-trade and post-trade compliance monitoring
- Monthly compliance reporting to the Board
- Quarterly regulatory horizon scanning
- Annual compliance training for all staff (100% completion)

Breach register: 2 minor breaches in past 3 years (both self-identified, no client impact, rectified within 24 hours). No significant breaches reported to ASIC.

16. Additional Disclosures

Unit pricing: Units are priced daily based on closing ASX prices. The unit pricing policy has been audited by Deloitte.

Related party investments: The fund does not invest in any Pendal-managed sub-funds.

Derivatives: The fund may use exchange-traded index futures for cash equitisation purposes only (max 5% of NAV). No OTC derivatives are used.

17. Distribution Policy

The fund distributes income annually in June. Distributions comprise dividends received (including franking credits), interest, and net realised capital gains. The fund aims to distribute 100% of taxable income each year.

18. Valuation

All listed securities are valued at last traded ASX price at 4:00pm AEST. Cash and accruals are included at face value. Any unlisted holdings (rare) are valued by independent valuers at least annually. The valuation policy is reviewed annually by the Board and audited by Deloitte.

19. Contact & Glossary

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AFSL: Australian Financial Services Licence

ASX: Australian Securities Exchange

GICS: Global Industry Classification Standard

ICR: Indirect Cost Ratio

MER: Management Expense Ratio